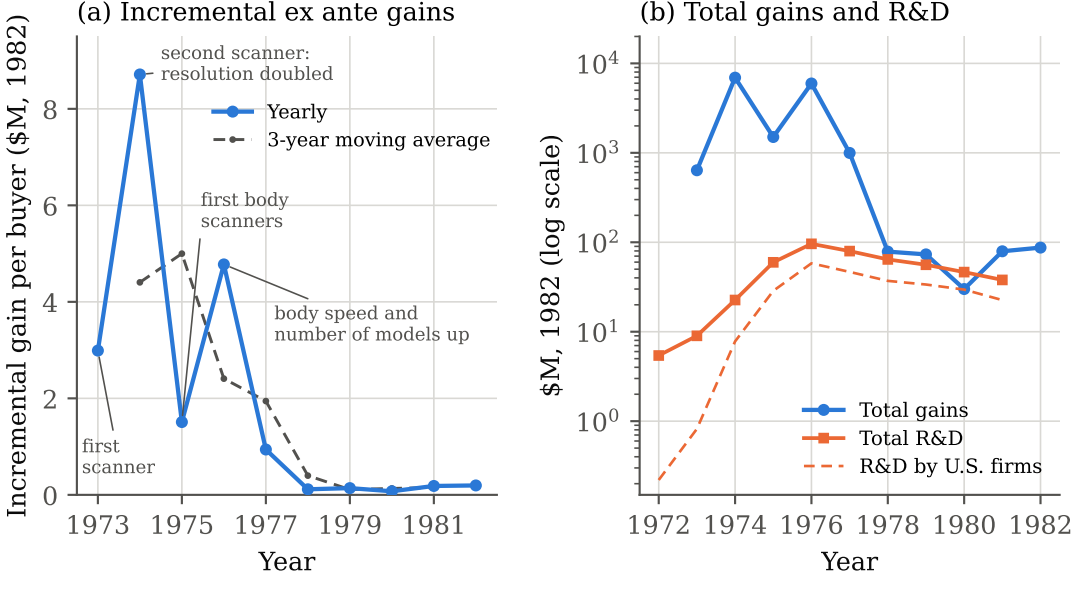
(a) Incremental ex ante gains
second scanner:
resolution doubled
Yearly
3-year moving average
first body
scanners
body speed and
number of models up
first
scanner
Incremental gain per buyer ($M, 1982)
0
2
4
6
8
1973
1975
1977
1979
1981
Year
(b) Total gains and R&D
$M, 1982 (log scale)
10^0
10^1
10^2
10^3
10^4
Total gains
Total R&D
R&D by U.S. firms
1972
1974
1976
1978
1980
1982
Year